Earnings per Share: Five Managerial Problems

Student version with final answers

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Instructions. Solve each problem in your notebook and bring a calculator. Amounts are in ₹ crore unless stated; EPS is in ₹ per share. Weight shares by months, keep full figures during working and round only the final answers to two decimals. Where a problem names more than one accounting standard, state which provisions you applied. Final answers are given after each problem so that you can check your own working; the solution document shows the steps.

Problem 1

Kaveri Auto Components Ltd, an Ind AS reporter, had 20 crore equity shares on 1 April 2025. On 1 October 2025 it made a rights issue of one share for every four held at ₹160 per share; the market price just before the issue was ₹200. On 1 January 2026 it issued bonus shares in the ratio 1:5 on all shares then held. Profit attributable to equity shareholders was ₹198 crore for FY2026 (year ended 31 March 2026) and ₹150 crore for FY2025; the FY2025 annual report showed EPS of ₹7.50. On 1 April 2025 the company also issued ₹100 crore of 8% compulsorily convertible debentures, convertible into 2 crore equity shares (adjusted for the bonus issue). The tax rate is 25%. The chairman's draft statement reads: "Profit grew 32%, yet EPS fell from ₹7.50 to ₹7.20." As the CFO's analyst, compute basic EPS for FY2026, restated basic EPS for FY2025 and diluted EPS for FY2026. Then advise whether the chairman's statement is correct and by what percentage EPS actually grew.

Final answer (for your reference)

Basic EPS FY2026: ₹7.20. Restated basic EPS FY2025: ₹6.00. Diluted EPS FY2026: ₹6.92.

EPS grew by 20 per cent on a like-for-like basis, not fell. The chairman’s statement is incorrect.

Problem 2

Sahyadri Pharma Ltd had 60 crore equity shares throughout FY2026 and reported profit after tax of ₹244 crore. Its capital includes three instruments, each outstanding for the full year: (a) 8% cumulative convertible preference shares of ₹200 crore, dividend ₹16 crore (not declared this year), convertible into 5 crore equity shares; (b) 9% convertible debentures of ₹300 crore, convertible into 6 crore shares; and (c) 12% convertible debentures of ₹150 crore, convertible into 2 crore shares. The tax rate is 25%. The CFO's junior has simply added all three instruments to the share count and reported a diluted EPS. Compute basic EPS and the correct diluted EPS, testing the instruments in the right order and showing which are dilutive. Then tell the CFO how many equity shares the 12% debentures would have to convert into before they become dilutive, so that the terms of a future issue can be set sensibly.

Final answer (for your reference)

Basic EPS: ₹3.80. Diluted EPS: ₹3.72.

The preference shares and the 9% debentures are dilutive; the 12% debentures are anti-dilutive and excluded. The 12% debentures would need to convert into more than 3.63 crore shares to become dilutive.

Problem 3

Deccan Logistics Ltd publishes quarterly results under Ind AS and also prepares US GAAP figures for its US parent. For the nine months ended 31 December 2025, profit attributable to equity shareholders was ₹30 crore, ₹32 crore and ₹33 crore in Q1, Q2 and Q3. The company had 30 crore equity shares throughout. It also had 10 crore employee stock options outstanding for the whole period, each for one share at an exercise price of ₹180. The average market price was ₹260 in Q1, ₹200 in Q2 and ₹110 in Q3, and ₹190 for the nine months as a whole. Ignore unrecognised compensation cost. The CFO must publish the nine-month diluted EPS and fears that the Indian and US figures will not agree. Compute basic EPS and diluted EPS for the nine months under Ind AS, IFRS and US GAAP. Explain any gap, and advise the CFO whether the difference matters for the parent's consolidation.

Final answer (for your reference)

Basic EPS: ₹3.17.

Diluted EPS: Ind AS and IFRS ₹3.11; US GAAP ₹3.03.

The gap comes from the way each framework builds the nine-month dilution.

Problem 4

Nirmaan Infra Ltd, a listed company reporting under Ind AS, had 50 crore equity shares throughout FY2026 and earned profit of ₹300 crore. On 1 July 2025 it issued ₹600 crore of compulsorily convertible preference shares to a private equity investor. The shares carry no dividend, are not participating, and convert mandatorily on 31 March 2028 into 5 crore equity shares. The CFO's performance bonus requires basic EPS of at least ₹5.75. The company is also preparing a US GAAP reconciliation for a proposed overseas listing, and analysts compare it with US-listed infrastructure peers that report under US GAAP. Assume there are no other potential shares and ignore dividends on the instrument. Compute basic and diluted EPS for FY2026 under Ind AS, IFRS and US GAAP. State whether the bonus target is met under each framework, and recommend how the company should present its EPS to investors and to the remuneration committee.

Final answer (for your reference)

Basic EPS: Ind AS and IFRS ₹5.58; US GAAP ₹6.00.

Diluted EPS: ₹5.58 under all three.

The ₹5.75 target is met only on US GAAP basic EPS.

Problem 5

Malwa Cement Ltd had 60 crore equity shares on 1 April 2025. On 1 October 2025 it bought back and cancelled 6 crore shares at ₹200 each (₹1,200 crore) out of surplus cash, which had been earning 6.5% a year before tax. The tax rate is 25%. The company has 8% cumulative non-convertible preference shares of ₹250 crore; the dividend of ₹20 crore was not declared this year. On 1 October 2025 it also issued ₹200 crore of 7% convertible debentures, convertible into 4 crore equity shares. Profit after tax for FY2026, after the buyback's loss of interest income, was ₹360 crore. Assume no other potential shares exist and ignore interest earned on the debenture proceeds. The CFO told the board that the buyback improved EPS. Compute basic and diluted EPS for FY2026. Then, using basic EPS, test the CFO's claim by comparing it with the EPS the company would have reported without the buyback, and advise the board.

Final answer (for your reference)

Basic EPS: ₹5.96. Diluted EPS: ₹5.85.

EPS without the buyback: ₹6.15. The buyback reduced basic EPS, so the CFO’s claim is incorrect.